MKALAMA DISTRICT COUNCIL
FORM ONE TERMINAL EXAMINATION
BUSINESS STUDIES

TIME: 2:30HRS **MAY, 2025**

INSTRUCTIONS

1. This paper consists of sections **A and B** with total of **six** (**6**) questions.
2. Answer **all** questions in section **A** and **B** and .
3. Section **A** and **B** carries **twenty (20)** marks and section B carries **eighty (80)** marks
4. All writing must be in blue or black ink except drawings which should be in pencil.

SECTION A (20 Marks)

Answer **all** questions from this section

1. For each of the items (i) -(x), choose the correct answer from among the given alternatives and write its letter in the box provided.

i. A soft drink company uses sugar, water, and flavors to produce soda in large quantities before selling it to wholesalers. Which of the following best describes this activity of turning the ingredients into soda?

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a) Distribution
b) Production
c) Consumption
d) Exchange

ii. Asha was employed as a secretary at Mkalama One secondary school, and she receives salary for her services. In which category does the post held by Asha can be placed among the following factors of production?
a) Land
b) Labour
c) Capital
d) Entrepreneurship

iii. Mr. Nguvumali is a retailer who sells goods to the customers on cash and credit terms However; he opted to sell on credit in order to attract more customers. What is the best description of this business process?
a) Distribution
b) Production
c) Consumption
d) Exchange

iv. Which among the following is a good example of perishable goods?
a) Processed coffee
b) Processed vegetables
c) Wheat flower
d) Natural flowers

v. Mr. Mkumbo bought a new tractor costing TZS 36,000,000 for large scale agricultural activities. What type of goods can this tractor be classified into?
   a) Consumer goods
   b) Producer goods
   c) Domestic goods
   d) Luxury goods

vi. Loveness went to the Supermarket to purchase food items such as bread and butter, fruits, meat, dairy and eggs for her family. How can you describe Loveness in business terms?
   a) Producer
   b) Cook
   c) Consumer
   d) Mother

vii. Education provided by teachers, healthcare from doctors, and banking services offered by financial institutions are good examples of:
   a) Economic goods
   b) Free goods
   c) Services
   d) Opportunity cost

viii. A drought in Tanzania has reduced the supply of maize, making it difficult for many people to buy flour. What economic problem does this situation illustrate?
   a) Opportunity cost
   b) Profit
   c) Scarcity
   d) Exchange

ix. Leah sells homemade fruit juice. It costs her TZS 3,000 to produce each liter, and she sells it for TZS 5,000. How much profit does she make per liter?
   a) TZS 2,000
   b) TZS 3,000
   c) TZS 5,000
   d) TZS 8,000

x. Jane has TZS 10,000. She can either buy a textbook for school or a ticket to a music concert. She chooses to buy the textbook. What is the opportunity cost in Jane's decision?
   a) The textbook she bought
   b) The money she spent
   c) The concert she missed
   d) The value of the textbook in the future

2. Match the descriptions of various types of goods in List A with the corresponding types of goods in List B by writing the letter of the correct response below the item number in the table provided.

LIST A	LIST B
i. consumer good	A.Is the process of moving goods and services
ii. business processes	B. Tobacco, cigarette
iii. wants	C. Motorcycle, jewels, cars
iv. demerit goods	D. Shortage in supply of resources
v. opportunity cost	E. Food, shelter, water
vi. resources	F. Reproduction, distribution, exchange, consumption
vii. small scale business	G. Carpentry, small retail shops,
viii. needs	H. Are goods used produced for final consumption
ix. distributions	I. Agents/ factors of production
x. Scarcity	J. is the second best alternative forgone after making choice

SECTION B (80 marks)

Answer **all** questions from this section

3. Write T for true statement and F for false statement
   i. Labor is the human efforts, skills and expertise required to produce goods…….
   ii. Services are valuable items that satisfy human needs and wants……..
   iii. The main purpose of any business is to generate profit……
   iv. Human needs and wants are limited in numbers……..
   v. Perishable goods include fruits, milk, vegetables ……..
4. With examples explain the meaning of the following business terms
   i. Business……
   ……..
   ii. Producer goods
   …….
   ……..
   iii. Consumption……
   …….....
   iv. Exchange…….
   ……..
   v. Entrepreneurship……
   ……
   ……..
5. **5.** In Nkungi village, a group of entrepreneurs starts different types of businesses over time, a village start to grow and people daily life start to change and residence start to notice changes in their community but do not fully understand how these businesses are contributing to those changes . Based on this scenario, **explain at least 5 importances of businesses in the society.**
   i. ……..
   ii. ……
   iii. ……

iv. ……..
v. ……

6. Mention 5 purposes of any business man to start
   i. ……..
   ii. ……..
   iii. ……..
   iv. ……..
   v. ……..

7. Assume that you have an idea of opening a grocery store and employing the homeless persons to reduce the number of unemployed people in your area. Describe the type of entrepreneurship you will undertake.